

Business Responsibility Report 2021-22

Annexure-A

PREFACE:

Cyient is committed to 'Design a Sustainable Tomorrow Together' and to integrating environmental, social, and governance (ESG) considerations throughout the whole value chain, from our operations to our suppliers, clients, and the communities in which we operate.

We are dedicated to working together to ensure consistency throughout, concentrating on circularity, and producing social value that will benefit the ecosystem in the long run.

We present our Business Responsibility Report (BRR) in accordance with the Ministry of Corporate Affairs (MCA) of the Government of India's National Guidelines on Responsible Business Conduct (NGRBC), which were notified in 2019. This report is prepared as per Regulation 34 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as well as the Securities and Exchange Board of India (SEBI) Circular Bearing Ref. No. CIR/CFD/CMD/10/2015, dated November 4, 2015, and highlights the Company's sustainability efforts for the financial year 2021-22.

For more details, visit Manufacturing Engineering Technology | Cyient

Business Responsibility Report: 2021-22

Section A: General Information about the Company

1	Corporate Identity Number	L72200TG1991PLC013134
2	Name of the company	Cyient Limited
3	Registered address	4th Floor, 'A' Wing, Plot .11, Software, Units Layout, Infocity, Madhapur Hyderabad, Telangana - 500 081
4	Website	www.cyient.com
5	E-mail id	company.secretary@cyient.com
6	Financial Year reported	2021-22
	Products & Services	
7	Sector(s) that the Company is engaged in (industrial activity code-wise)	62099 – Other information technology & computer service activities
8	Goods manufactured/ services provided (top three by revenue)	• Engineering services in mechanical, electrical, and civil engineering solutions manufacturing and infrastructure sectors. Plant, manufacturing, and electrical engineering are only a few examples. • Mechanical and electrical design-led manufacturing domain, as well as services for semi-conductor design, engineering application software creation & intellectual property, as well as auxiliary services • Geospatial services to the utilities and telecom sectors, such as photogrammetry, remote sensing navigational data mapping, and location-based services • Advanced analytics, big data consultancy, IoT, and M2M services for the utilities and transportation sectors in the public and private realms, as well as product realization
	Operations	
9	Total number of locations where business activity is undertaken by the Company	38
a	Number of International Locations (provide details of major five)	East Hartford, CT, USA Reading, UK, Arlington, TX, USA Sydney, Australia, Leuven, Belgium
b	National Locations	Full list part of this Annual Report
10	Markets served by the Company: State, National, International	International – Across 14 countries

Section B: Financial Details of the Company

1	Paid-up capital	Rs. 552 Million
2	Total turnover	Rs. 17,505 Million
3	Total profit after tax	Rs. 5,691 Million
4	Total spending on CSR as a percentage of PAT (%)	Approx. 2%
5	List of Activities in which expenditure (in point 4, above) has been incurred:	

- Education Initiatives: To enhance the quality of education imparted to underprivileged children through the adoption of various government schools
 - Key Highlights:
 - Developed Smart Classrooms and Digital Libraries in all the adopted schools.
 - Currently supporting 28 govt. schools through adoption and educating over 20198+ children every year.
 - Achievements:
 - Using the ICT and IoT, Cyient Foundation ensured continuity in providing access to online education.
 - Trained over 1000 government teachers using CDCs on the usage of ICT.
 - Over 5000 children not having proper access to online are mapped to 80 Cyient Digital Centers to attend online classes around their residences.
- IT & Digital Literacy Initiatives: To provide digital literacy to non-IT literates in the community through Cyient Digital Centers (CDCs)
 - Key Highlights:
 - Currently developed 80 Digital Centers and around 10000 adults (men & women) aged from 16 to 60 years have used the facility
 - As on date, 20000+ adult women participated and certified L1 Program from our CDC's
 - School children and their parents gained access to these CDC which is unique in nature of learning.
 - Achievements:
 - With 28 government schools across four states in India and over 80 digital centers providing access to IT education to 35,000 children and adults in four states of India.
 - Developed and operating 80 Cyient Digital Centers (CDCs) across Telangana & AP
 - Over 35000 adults (men & women) aged 16 to 60 years are given access to IT literacy
- Skill Development Initiatives: To teach and impart employability skills to unemployed urban and rural communities.
 - Key Highlights:
 - Urban Skill Centre - Training unemployed youth & women in Tailoring, Bakery, Beautician, Retailing, and Bedside Assistance skills.
 - IT/ITES Skill Center – Training Telangana rural unemployed Diploma Holders and Graduates (Non-Engineering) on IT Skills.
 - Achievements:
 - Trained unemployed youth and provided them the required skill to gain potential basic IT Jobs.
 - As on date in 17 Batches – Trained 556 students and placed 499 students
 - Trained over 46% of Girls / Women and provided employment.
 - 95% of the trained and certified candidates were placed in various IT/ITES Companies including Cyient.
 - Helped in gaining sustainable income of INR over 2.5 Lakhs per annum.

4. Healthcare & Community Services: To develop rural and urban communities through the adoption of villages— providing healthcare and sanitation facilities.

- Key Highlights:

- Supporting over 3000 families from Gram Panchayat in Andhra Pradesh adopted by Cyient
- Providing WASH facilities in all the Government Schools in Serilingampally Mandal as part of The Swachh Telangana – Swachh Pathashala initiative.

- Achievements:

- In line with our commitment to society, The Cyient Foundation is committed to a contribution of INR 2 crores to The Asian Healthcare Foundation (AHF).
- This contribution will be paid out over four years (50.00 Lakhs each year) and will be participating in the development of innovative healthcare solutions through its basic science and research facility
- AHF is recognized as a Scientific and Industrial Research Organization by the Department of Scientific and Industrial Research, Government of India.

Section C: Other Details

1	Does the Company have any Subsidiary Company/ Companies?	Yes, 11 subsidiaries and 1 joint venture
	Cyient, Inc. [CI]	Cyient Israel India Limited (CIIL)
	Cyient Europe Limited [CEL]	Cyient DLM Private Limited (CDLMPL)
	Cyient GmbH (CG)	Cyient Insights Private Limited (CIPL)
	Cyient Australia Pty Limited (CAPL)	Cyient Urban Micro Skill Centre Foundation (CUMSCF)
	Cyient KK [CKK]	Cyient Solutions and Systems Private Limited (CSSPL)
	Cyient Singapore Pte Limited (CSPL)	Infotech HAL Limited (IHL)
2	Do the Subsidiary Company / Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)	Yes, Cyient DLM Private Limited
3	Do any other entity/entities (e.g., suppliers, distributors) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate % of such entity/entities?	30% - 60%

Section D: BR information

1	Details of the Director/Directors responsible for implementation of the BR policy/policies	Ajay Aggarwal, Executive Director & CFO DIN: 02565242 Phone: +91-40-67641000 Email: ajay.aggarwal@cyient.com
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2. a. Principle-wise (as per NVGs) BR Policy/policies:

Principles	Description	Company's Policy	Core Elements
Principle 1	Businesses should conduct and govern themselves with integrity, and in a manner that is ethical, transparent, and accountable	Codes of Conduct, Whistle Blower policy, Human Rights Policy	Honesty & Ethical conduct, Conflict of Interest, Legal Compliance, Corporate disclosure policy, Competition and Fair dealing, Compliance with Code of conduct, Accountability
Principle 2	Businesses should provide goods and services in a manner that is sustainable and safe	Sustainability Policy, Vendor Code of Conduct EOHS, Information Security policy	Environment protection, Resource optimization, pollution prevention, Data Protection, Sustainable Supply Chain

Principles	Description	Company's Policy	Core Elements
Principle 3	Businesses should respect and promote the well-being of all employees, including those in their value chains	POSH, EOHS, Maternity, Medical and Leave policy, Sustainability Policy, Human Rights Policy, Vendor Code of Conduct	POSH committee, Communication, Accountability, Maternity benefits, Human Rights, Accident prevention, Safe and Healthy workplace, Health and Safety, Sustainable Supply Chain
Principle 4	Businesses should respect the interests of and be responsive to all its stakeholders	Global CSR Policy, Human Rights Policy	CSR vision and objective, CSR governance structure, CSR committee, Monitoring and Reporting framework, Planning, Major CSR initiatives, Human Rights, Volunteering,
Principle 5	Businesses should respect and promote human rights	POSH & Global CSR Policy, Sustainability Policy, Human Rights Policy	Human Rights, CSR vision and objective, CSR governance structure, CSR committee, Monitoring and Reporting framework, Planning, Major CSR initiatives, Volunteering
Principle 6	Business should respect and make efforts to protect and restore the environment	EOHS Policy, Sustainability Policy, Vendor Code of Conduct	Environment Stewardship, pollution prevention, resource optimization, community
Principle 7	Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent	Codes of conduct, Anti-bribery / Anti-fraud, Sustainability Policy, Human Rights Policy	Honesty & Ethical conduct, Conflict of Interest, Legal Compliance, Corporate disclosure policy, Competition and Fair dealing, Compliance with Code of conduct, Anti-corruption due diligence, Risk assessments, gifts, investments, applicability to all associates and business partners
Principle 8	Businesses should promote inclusive growth and equitable development	Modern Slavery Statement, Diversity and Inclusion policy, Sustainability Policy, Human Rights Policy	Awareness, Recruitment, Leadership, Mentorship, Compliance, Human Rights, Inclusion and Diversity, Anti-harassment, and nondiscrimination
Principle 9	Businesses should engage with and provide value to their consumers in a responsible manner	Sustainability Policy, Procurement Guidelines, Privacy Policy	Integrity, Compliance with applicable laws, Ethical conduct, anti-corruption, Intellectual property, International Trade, Conflict of interest, Honest and accurate transactions, Data protection, Non-disclosure and documentation, Audit compliance

2. b. Principle-wise (as per NVGs) BR Policy/policies (Reply in Y/N)

S. No.	Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
1	Do you have a policy/policies for...?	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy conform to any national /international standards? If yes, specify? (50 words)	Y	Y	Y	Y	Y	Y	Y	Y	Y
4	Has the policy been approved by the Board? Is yes, has it been signed by MD/owner/CEO/ appropriate Board of Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
5	Does the company have a specified committee of the Board/ Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y

6	Indicate the link for the policy to be viewed online?	Polices & Codes: CoC Code_of_Conduct.pdf (cyient.com) HR Whistle blower EoHS EOHS Policy 2015.pdf (hubspot.net) Sustainability Policy Infosecurity Privacy Policy Privacy Policy Cyient POSH HR-IN-G-POSH-C5-POL V 1.1.pdf (cyient.com) CSR Anti-bribery / Anti-fraud Anti_Corruption_Policy_-_Version_2_0_0704161.pdf (hubspot.net) Modern Slavery Modern Slavery and Human Trafficking Statement (cyient.com) Modern_Slavery_Policy_Statement _CAPL.pdf (cyient.com) D&I Procurement guidelines VCOC FP-028-VCC(Vendor Business Code Of Conduct).pdf (cyient.com)								
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S. No.	Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10	Has the company carried out independent audit/evaluation of the working of this policy by an internal or external agency?	Y	Y	Y	Y	Y	Y	Y	Y	Y

2. c. If answer to the compliance status of any of the Principles listed above is 'No', please explain why

S. No.	Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
1	The company has not understood the Principles	Not Applicable								
2	The company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles									
3	The company does not have financial or manpower resources available for the task									
4	It is planned to be done within next 6 months									
5	It is planned to be done within the next 1 year									
6	Any other reason (please specify)									

3. Governance related to BR

- i. Frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company:

The company's BR performance is evaluated every 3-6 months, and the Business Responsibility Report is published yearly in the Annual Report.

- ii. Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

The company has published its first Sustainability Report the previous year for FY 20-21 in accordance with GRI Standard. The hyperlink for previous year report is <https://f.hubspotusercontent40.net/hubfs/5724847/2021/Sustainability%20Report/Cyient-Sustainability%20Report-2021>.

Section E: Principle-wise performance

Principle 1: Businesses should conduct and govern themselves with Ethics, Transparency, and Accountability

By using the best industry standards to deliver value to all stakeholders, Cyient Limited continues to uphold the genuine spirit of Corporate Governance. Our corporate governance structure reflects the development of a system that instills our values, principles, management rules, and processes. Cyient provides long-term value for stakeholders by adhering to the FIRST values, our Code of Conduct, our vigil mechanism, data privacy policies and tools, and our grievance procedure with steadfastness.

These are the factors that allow senior management and employees do business with the highest levels of integrity, commitment, and ethical and moral standards. The business is dedicated to making a positive impact on the industry it serves as well as the long-term interests of its stakeholders. The company's senior management is always striving to take it to the next level of growth and business excellence.

In all of our interactions with clients, stakeholders, and partners, Cyient Limited is guided by the values 'FIRST' (Fairness, Integrity, Respect, Sincerity, and Transparency). We are confident that our vision of 'Designing Tomorrow Together' can be realized by upholding the highest standards of corporate ethics and good governance procedures while remaining true to our fundamental beliefs.

Code of Conduct:

In order to reinforce corporate governance practices, the Company has created a "Code of Conduct" for its Board of Directors and Senior management. The 'Code of Conduct' governs various policies, including a code of conduct for directors and senior management, a code of conduct for insider trading prevention, and a code of practices and processes for fair disclosure of unpublished price-sensitive

information. Other measures, such as our Board Diversity Policy, Materiality Policy, and Related Party Transactions Policy, among others, help to strengthen our corporate governance system.

Vigil Mechanism

Anti-Corruption Policy

The anti-corruption policy outlines the company's corporate ethics, values, rules, and procedures for preventing bribery in all of Cyient Limited's activities and business relationships. It establishes a zero-tolerance policy for bribery that applies to the organization and its subsidiaries, who are required to have proper systems in place to monitor, detect, prevent, and punish any violations of anti-bribery and other anti-corruption laws.

Employees, employee representatives, and other stakeholders can also provide comments and feedback to Cyient Limited's legal department using the authorised e-mail address.

Human Rights Policy

Cyient strives to respect and promote human rights in accordance with the UN Guiding Principles on Business and Human Rights. The company aims to help increase the enjoyment of human rights within the communities in which it operates.

If any associate suspects that someone is breaching the Human Rights Policy or the law, they should notify their manager, Human Resources, Company legal counsel, or our third-party ethics line right away.

Cyient's Human Rights policy is based on the following 10 principles:

- Respect for Human Rights
- Community and Stakeholder Engagement
- Inclusion and Diversity
- Anti-harassment and nondiscrimination
- Freedom of Association and Collective Bargaining
- Safe and Healthy Workplace
- Workplace Security
- Modern slavery and Human Trafficking
- Child Labor
- Work Hours, Wages, and Benefits

Whistle Blower Policy

The policy offers associates, clients, and vendors a way to voice their concerns, in keeping with Cyient's dedication to the highest possible ethical, moral, and legal business conduct, as well as open communication. Furthermore, sufficient protections must be in place to protect associates, clients, and vendors from retaliation or persecution as a result of whistleblowing in good faith.

Data Privacy

We recognise the significance of preserving the client's personal and sensitive information when working with us. The Company makes every effort to keep unpublished price sensitive information discreet and prevent its misuse. We prioritise process changes and implement new tools to improve information and cyber security controls. To protect the company's and customers' intellectual property, we've implemented a Data Leak Prevention (DLP) solution. To guarantee uniformity, transparency, and fairness in dealing with all of its stakeholders, we have a rigorous policy in place called "Code of Practises and Procedures for fair disclosure of unpublished price sensitive information."

Grievance Mechanism

Cyient Limited has an open grievance system, and the company's Report on Corporate Governance discusses the facts of investor complaints and dispositions. 141 complaints were received throughout the fiscal year, and 141 of them were resolved to the satisfaction of the stakeholders.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

Cyient enforces sustainable sourcing through two robust approaches namely the Vendor Code of Conduct and by scaling up local sourcing methods year after year. All suppliers and subcontractors are subject to Cyient's vendor code of conduct, which requires them to do business in line with the highest ethical standards and accordance with all applicable laws, rules, and regulations.

Cyient analyses 50% of its suppliers for the Design Led Manufacturing business based on basic environmental and social criteria. However, the company has established a Sustainable Supply Chain framework to screen all the vendors across Engineering Services and DLM on ESG factors in the coming years.

In FY 21-22, Cyient has 2080 suppliers, with 1137 of them situated in India, accounting for almost 54 percent of the total. In the foreseeable future, the firm hopes to strengthen the capacity and competency of local and small-scale suppliers through its Sustainable Supply Chain framework.

Cyient's local sourcing strategy promotes value creation in the areas where it works while also lowering the company's carbon impact by avoiding sourcing items from far distances. Cyient intends to support medium and small businesses, which make up most of its vendors.

We are working to track our waste disposal workflow to validate its end-use and streamlining processes to reduce waste generation. The waste generated is being disposed of through the registered vendors for various waste categories. We are further exploring the vendors in Organic Waste Composters (OWC) category.

We seek to provide holistic solutions that help our clients reach their operational and business goals, from quieter flights and safer train journeys to a more reliable energy supply. Cyient's technical experience, domain expertise, and service capabilities set us apart as a Design, Build, Operate, and Maintain partner dedicated to fulfilling the demands of our clients and solving more challenges. We use digital technology to provide comprehensive solutions across our clients' value chains.

The following is a list of our products and services, as well as how they relate to sustainability.

Services	Value to Our Clients	Sustainability
Design: • Product engineering • Networks & operations	In order to design the future generation of products, networks, and systems, we collaborate with our clients.	Designing more efficient, quicker, and cost-effective products, networks, and systems often results in a reduction in the energy and material footprint of these systems.
Build: • Electronics & mechanical manufacturing • Systems & applications • Geospatial data	We provide flexible manufacturing services to help our clients gain a long-term competitive advantage. Through our products, we assist our clients in being nimble and competitive.	Our electronics production and mechanical manufacturing facilities are constantly working to improve efficiency and environmental management. We also use digital technology like smart sensors to track the operation of our machines and product lines, as well as predictive analytics to cut down on reactive maintenance life cycles.

Services	Value to Our Clients	Sustainability
Operate & Maintain: • Aftermarket services • Operations support • Asset management • Data maintenance	We improve our clients' products quality, authenticity, and performance.	We help our clients reduce inefficiencies and downtime by improving the operation and maintenance of technology solutions, allowing them to maximise productivity with a given set of resources.
Digital • Internet of Things • Analytics • Additive Manufacturing • Mobility • Augmented Reality • Digital Reality • Battery Management	Our solutions assist businesses in: • Developing the proper skills to garner • Insights that enable smarter decisions to produce value • Converting raw and unstructured data into actionable insights • Deploying end-to-end connected device solutions in a seamless manner	By enabling our clients to have access to more data, we assist in making better decisions, which may translate into higher productivity, reduced inefficiencies, and the resolution of more issues.

Design for Circularity

Cyient has teamed up with eolos to develop a new consulting and engineering practice called 'Design for Circularity,' which aims to stimulate Eco-innovation and facilitate long-term changes in industrial processes. The new practice brings together the two businesses' 25+ years of industrial experience and operational skills to help industries migrate to greater sustainability.

Design for Circularity advances our larger objective of creating a sustainable future. Engineering-centric industries such as rail, automotive, aerospace, and medtech can benefit from the discipline by developing more sustainable methods, products, and solutions.

Please see the list of services we provide below.

Solutions	Offering
Traceability	For giving transparency to key stakeholders, combining data from produced items along the value chain is becoming increasingly important. By delivering the correct combination of solutions and digital technologies, we help our customers comply with new requirements and standards.
Material Engineering & Packaging Redesign	Going back to the start of the product value chain to eliminate waste. As materials are the building blocks of the final product, we can influence the design in terms of safety and sustainability by rethinking the materials we use to produce goods and components.
Obsolescence Management	Obsolescence is indispensable, but with preparedness and careful planning, its impact and potential for high expenses may be minimized. Our obsolescence management programme guarantees that obsolescence is handled throughout the product life cycle, from the beginning phases of product design development and manufacture through in-service support, to minimize negative effect.
Rethinking the Supply Chain	Building stronger supply chains that adhere to environmental regulations

Principle 3: Businesses should promote the wellbeing of all employees

People are the foundation of Cyient's ambitions and accomplishments. Cyient has created a dynamic work culture that draws some of the top people and provides them with opportunities to advance professionally in this technology-driven society. Cyient Limited is committed to providing a work environment that encourages our employees to develop and grow while also protecting their health and safety. The company's business is service-oriented, and its eco-system is strongly reliant on its employees' efficiency and effectiveness. Individual team members' talents and performance are closely related to the company's financial growth and profitability.

Cyient is always striving to be the best place to work for our employees. The people function is tightly linked to the company's vision and the S3 strategy, which drives talent acquisition, retention strategies, and the development of next-generation leaders. As of March 31, 2022, the firm employed 15,632. Cyient employs cutting-edge HR strategies that provide it an advantage over its competitors.

Cyient is led by the principle that businesses should respect and promote the well-being of all employees, including those in their value chains. We conduct several wellness sessions including education sessions on mental health and physical health throughout the year. It involves awareness sessions on processes for Associates to report work-related hazards and hazardous situations and an explanation of how Associates are protected against reprisals. To imbibe a culture of safety, all employees undergo safety training programs once every three months, where they receive specific training to tackle emergencies. Individual employee health check-ups are also a part of this initiative. We provide clean, sanitary workspaces with a well-defined access control system for our employees. We also conduct health check-up camps on a regular basis and teach our personnel to deal with emergency circumstances through fire and mock drills. Our internal security is strengthened by our well-defined security system and transportation automation, which ensures employee safety at work.

The virtual discussions are a hub for associates worldwide to come together in the spirit of wellbeing and have events for e.g., this year we had panel discussions on corporate topics such as Happiness @ work, Gender Equality for Sustainable Tomorrow, and Enhancing Professional Enhancement. We also conducted various engagement programs on wellbeing where associates from diverse backgrounds were actively involved and professionals shared their key insights on lesser-known wellbeing topics such as Laser surgery, Breast Cancer Awareness, Sports Injuries, Obesity, Behavior Disorders, etc. These were all held on remarkable days such as Appreciation day, women's day, Volunteer's day, New Year's bash, Holi, etc.

The company's focus has been on innovative approaches to bring in new talent that will give it an advantage over its competitors. Cyient approaches several institutions throughout India each year for their campus employment initiative. This year we conducted Sustainability Hackathons, academic students and start-ups were invited to participate. The evaluation was carried out at nodal points chosen by Cyient across India.

We have a strong Diversity & Inclusion council within the organization. We encourage diversity and inclusion inside the organization by raising associate knowledge of several factors such as generational diversity, gender know-your-brand, and self-reliance, among others. Cyient's one such initiative is its Inclusion Ambassador Program where associates volunteer to help create and implement inclusion nudges that help to transform the culture. There are no bounds to their scope, but most nudges center around unconscious bias, attracting diverse talent, and inclusive leadership. We also have a structured mentorship program as a part of the DIEL (Diversity, Inclusion, Equity Leadership) initiative focusing on developing our next set of leaders. It was initiated to develop a strong pipeline of female leadership potential.

However, in our subsequent programs, we have ensured we have representation from all gender groups. In FY 22, Cyient had four women on its Board of Directors and key executive positions. Its female hiring ratio also increased to 30 percent.

Our people strategy is aligned with our vision of 'Designing Tomorrow Together,' which focuses on attracting, developing, and retaining top talent. For training and development, we collaborated with several academic institutions and consulting firms throughout the world. Employees get training in a variety of areas, including role-specific training, project group / function-specific training, new technology, and leadership skills.

Programs like TLP (Technology Leadership program) and BLP (Business Leadership program) have been developed to upgrade and improve employee skills. An average of 38 hours per FTE of Training and Development has been provided during FY 21-22. Cyient is using the Kirkpatrick method to evaluate the results of training and learning programs.

For associates of various levels, we have over 2000 online courses accessible. Aside from byte-sized learning, our employees may still access community-based learning via the internet. Blended learning, which combines many learning methodologies such as classroom, remote delivery, online, action learning, and mentoring, is the next most popular. The technique is determined and applied based on the employee's geographic location and the type of learning. From a safety standpoint, we have facilities teams in place at all our locations that work with Human Resources to push EHS initiatives.

Parameter	Value/ Description
Total number of employees	15,549
Total number of employees hired on temporary/ contractual/ casual basis	312
Number of permanent women employees	3,922

Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment, etc. are mentioned in the table below.

S. No	Category	No. of complaints filed during 2020-21	No. of complaints as on end of 2021-22
1	Child labour/forced /involuntary labour	Nil	Nil
2	Sexual Harassment	Nil	1
3	Discriminatory employment	Nil	2

Cyient makes every reasonable effort to ensure that all concerned stakeholders are familiar with Cyient's Business Code of Conduct and Human Right policies and are aware that any complaint in violation of such policies will be investigated. The complaints received in the above-mentioned categories were resolved and closed appropriately.

Principle 4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized

Cyient Limited believes in an integrated effort to 'Designing a Sustainable Tomorrow Together' and has always maintained ongoing involvement with all internal and external stakeholder groups through various channels. Our colleagues, such as leadership, senior management, and workers, are internal stakeholder groups, whereas community members, non-governmental organizations, investors, clients, and suppliers are external stakeholder groups.

Cyient guarantees that all stakeholders are included in the process of understanding and assessing their needs. We also guarantee that client demands are met in a timely and effective way. The organization has recognized four important stakeholder groups: colleagues, investors, consumers, and society, and caters to each of their needs, as documented/detailed elsewhere. Cyient partners with organizations to hire people with disabilities. We provide training to our management teams on how to seek accommodations for people with disabilities to ensure they feel inclusive.

We did a materiality assessment this year to identify ESG characteristics that are relevant and significant to stakeholders, in addition to the many surveys we run every year such as customer happiness, associate engagement, and investor satisfaction.

Through Cyient Foundation, we engage in a variety of CSR activities to help the communities in which we operate. Principle 8 dives into the specifics of these endeavors.

Principle 5: Businesses should respect and promote human rights

Cyient has a business imperative to be a responsible, accountable, and equitable company. The foundation of which is our values of Fairness, Integrity, Respect, Sincerity, and Transparency (FIRST). We believe it is our responsibility to respect and protect human rights and to contribute to positive human rights impacts. Some of the steps that we have taken to safeguard human rights are:

- Our 'Human Rights Policy' is developed in accordance with the UN Guiding Principles on Business and Human Rights and strictly adheres to the human rights laws and guidelines of the International Bill of Human Rights. Our policy applies to all Cyient Ltd. and all its subsidiaries. We aim to increase the enjoyment of human rights within the communities in which we operate. Our Human Rights Policy is a cornerstone in these endeavors. It is based on the following 10 principles: Respect for Human Rights, Community and Stakeholder Engagement, Inclusion and Diversity, Anti-harassment and nondiscrimination, Freedom of Association and Collective Bargaining, Safe and Healthy Workplace, Workplace Security, Modern slavery and Human Trafficking, Child Labor, Work Hours, Wages and Benefits.

- Our Code of Business Conduct outlines commitment to stakeholders, clients, and employees and provides a clear set of standards for all its professional endeavors. All dealings across organizations are guided by its core values: Fairness, Integrity, Respect, Sincerity, and Transparency. CEL conducts its business in accordance with the highest ethical standards and adheres to all applicable employment, health and safety, and human rights laws.
- Our 'Policy on Sexual Harassment' (POSH) is committed to ensuring a safe and harassment-free workplace for every individual working on its premises. This commitment is evidenced through various policies and practices to ensure individual and company accountability. At Cyient, we endeavor to create and provide an environment that is free from discrimination and harassment including sexual harassment. The Internal Complaints Committee has been set up to redress complaints received regarding sexual harassment. All associates of the company are covered under this policy.
- Our 'Vendor Code of Conduct' outlines our commitment to conduct business in accordance with the highest ethical standards. Cyient has a responsibility to ensure its supply chain operates responsibly and improves the lives of workers, their communities, and the environment. We expect our vendors to support and respect the protection of internationally proclaimed human rights and to ensure that they are not complicit in human rights abuses.
- We have an efficient grievance redressal system which is our core mechanism for addressing human rights in our organization, supplemented by various organizational policies. We also have an efficient whistleblower mechanism that enables all associates of the company including subsidiaries to approach the Ombudsperson of the company and make protective disclosures about unethical behavior and actual or suspected fraud.

Principle 6: Business should respect, protect, and make efforts to restore the environment

Our 'Sustainability Policy' acts as a guiding principle to integrate ESG aspects across our business with a commitment towards achieving sustainable growth. It outlines Cyient's commitment to 'Design A Sustainable Tomorrow Together', focusing on circularity, designing utilities for tomorrow, and creating social value that shall deliver a long-term sustainable value to the ecosystem. It is applicable across all our project sites and locations of operations globally. We have embraced ESG as a key agenda to our ESG framework. This framework has been developed based on three core pillars, i.e., Responsible – Equitable – Accountable, with 13 focus areas. This framework shall be supported by an effective multi-tier ESG governance structure where the existing

'Board of Directors' shall act as the apex committee providing leadership on the organization's sustainability agenda and future goals, the second tier is the 'Sustainability Committee' which shall own the sustainability goals/targets and steer the sustainability agenda of the organization and lastly the 'Working Group' which shall be responsible for the overall implementation of sustainability programs/initiatives for their respective functions. Thus, enabling robust governance, transparency thereby establishing a conducive environment ensuring no compromise on ethics and values amidst dynamic externalities including pandemic and natural calamities.

We have also integrated Environmental, Social and Governance (ESG) risk into our enterprise risk management framework. We focus on the issues that impact our stakeholders most in terms of materiality to optimize our efforts. These material issues are determined through active engagement and running a materiality assessment based on the GRI framework with our stakeholders, including investors, customers, suppliers, associates, partners, leadership teams, and others.

To advance our progress on ESG we have undertaken various initiatives:

Cyient has made considerable progress in renewable energy by deploying energy conservation practices across our operations, purchasing electricity through power purchase agreements, and shifting towards alternate energy sources across our sites. This year, solar panel installation work was completed at Vizag, Kakinada, and Warangal sites. We are in the process of enhancing renewable energy share across all our operations. We have also expanded the reporting coverage of our energy consumption and relative emissions from India to overseas locations. We carried out the greenhouse gas inventorisation to estimate the emission intensity and accordingly set the mitigation strategy. Along with our focus on Scope 1 and 2 emissions, we are mapping emissions that originate from our associates commuting between their homes and the workplace.

Water stewardship is one of Cyient's key focus areas across our operations. Several measures have been rolled out for optimizing water use and conservation. We have installed aerators and motion sensors to ensure water-efficient operations. We are metering our water consumption at Cyient-owned sites. We are also exploring water reuse and recycling methods. This year we installed a sewage treatment plant at our sites in Warangal and Madhapur and renovated the existing one at Manikonda site. We are also in the process of setting up sprinklers for landscaping at our sites in Manikonda, Madhapur & Warangal. We are in the process of collaborating with organizations regarding hazardous & non-hazardous waste disposal and the implementation of a bio compost machine in our facility. The emissions and waste generated by the company are within the permissible limits given by CPCB/SPCB. No show cause/legal notices have been received from CPCB/SPCB during the previous financial year.

We have revised our vendor code of conduct for the integration of sustainability aspects, this shall be used to encourage suppliers adopt sustainable practices across their value chain. At Cyient, we are committed to supporting the conversion of today's linear or "throwaway" economy into a more circular one by focusing on re-designing products, processes, and solutions to ensure minimal waste and optimized use of resources. Cyient organized CyientifIQ Sustainability Hackathon, a global hackathon for student and start-up ecosystem to curate innovative solutions to address sustainability as a major business and environmental concern. 5200 students participated in designing solutions focusing on sustainability aspects and the event became a huge success.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

At Cyient, we believe in collaborative approach and extensive stakeholder engagement to enable consistent dialogue. We are members of various industry bodies including Confederation of Indian Industry, National Association of Software and Service Companies, Global Compact Network, India Indo-American Chamber of Commerce, National HRD Network, The Federation of Telangana and AP Chambers of Commerce and Industry and Hyderabad Management Association.

We were never advocated nor lobbied through the above-mentioned associations for the advancement or improvement of public good.

Principle 8: Businesses should support inclusive growth and equitable development

Our CSR spend in FY 22 was ₹ 9.40 crores

Cyient's 'Global Policy on Corporate Social Responsibility' outlines its philosophy of "Empowering Tomorrow Together" Cyient and its subsidiaries' abiding concern for society and environment. As responsible corporate citizens, we undertake several transformational initiatives that contribute towards community empowerment and all-round societal development. With strategic social investments in several key areas like healthcare, smart villages, skill development, and education, we foster long-term sustainable community development, and drive growth initiatives that aim to make a meaningful impact in people's lives.

Cyient's Corporate Social Responsibility (CSR) activities are spearheaded by the Cyient Foundation and Cyient Urban Micro Skill Centre Foundation. Cyient is guided by its CSR committee and policy and vision. The Company has formed a CSR committee as per Section 135 of the Companies Act, 2013 to formulate and recommend to the Board, a Corporate Social Responsibility Policy which shall indicate the activities to be undertaken by the company as specified by law. CSR programs are focused under 4 pillars i.e., Education, Health Sanitation & Hygiene, Skill Development, IT Literacy, Disaster Relief and Rehabilitation and Associates Volunteering. We

carry out impact assessments of our projects which are operational since at least 3 years.

Key Highlights for FY 21-22

- As part environmental initiatives, over 18,000 square meters of land in and around adopted schools and village were developed 41 rainwater harvesting pits and helped in ground water recharging.
- Planted over 60,000 trees in the last 6 Years, with the survival rate over 84%. Received award from CII Telangana for the 6th consecutive year for the plantation initiatives.
- With 28 government schools across four states in India and over 80 digital centers providing access to IT education to 35,000 children and adults in four states of India.
- Supported over 1.2 lakh children gain access to quality education by providing various teaching aids, school infrastructure, health, and nutrition, and ICT/IoT facilities in Cyient adopted schools.
- Ensured continuous access of education to underprivileged children, through ICT and IOT. Over 6000 children used Cyient Digital Centers (CDC) for attending online classes.
- Through Cyient Urban Micro Skill Center (CUMSC) trained over 2100 unemployed youth and women in tailoring, baking, beauty courses, retailing, and bedside assistance skills, helped in sustainable livelihood generation.
- Through Cyient IT/ITES Skill Center trained over 500 rural unemployed diploma holders and graduates (non-engineering) in IT skills in Telangana and provided livelihood opportunity.
- Assisted in developing makeshift hospitals for the fight against Covid19 and treated over 10,000 Covid19 Patients. Provided over 57,525 free quality packed meals to patient attendees in and around Covid19 Care Centers and distributed over 6,120 Dry Ration Kits to the needy in community.
- Through Cyient Urban Micro Skill Center and its implementation partners trained over 1000 bedside care attendants and deployed in Covid19 Care Centers, Isolation Centers and Government Hospitals.
- Assisted the state government of Telangana & Andhra Pradesh by distributing over 3.36 Lakhs masks and over 19,000 PPE Kits for free to the Health Workers, Community People and School Children.

Our key CSR initiatives for the financial year include the following

Education & IT Literacy	Skill Development, Innovation & Entrepreneurship
• Quality primary and secondary education through adoption of schools • Eliminate discrimination in education • Build and upgrade inclusive and safe schools • Provide qualified teachers and STEM Programs in India and Overseas • Adult IT literacy program through Cyient Digital Centers	• Support in ending discrimination against women and girls through skill development. • Empower the women & promote youth employment, education, and training through IT/ITES & CUMSC Centers • Support institutions like IIT Hyderabad to enhance innovation, research, and technologies • Support domestic technology development and industrial diversification
Community Development & Environment	Healthcare & Pandemic Response
• Provide safe drinking water, wastewater management & safe reuse in Cyient Adopted Villages and Schools • End open defecation and provide access to sanitation and hygiene in Community • Provide water and sanitation through WASH Program in Serilingampally, Telangana • Develop urban forestry lands and provide access to safe and inclusive green and public spaces	• Nutritional supplements to women & children in reducing maternal mortality and infant deaths under 5 years through Anganwadi Centers in Adopted Villages • Extend support to research in Healthcare to develop affordable medicines. Support to pandemic response initiatives in community • Conduct awareness programs in Adopted villages on sustainable food production and resilient agricultural practices

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner

The craft of delivering highest standards of safety, reliability, and performance has been epitomized by Cyient since its

inception. We are committed to creating and delivering engineering services and solutions that exceed customer expectations and enhance the level of business profitability. We believe that customer-centricity is key to long-term business sustainability and consistently strive forth to ensure higher customer satisfaction through our efforts in product innovation, R&D activities and ensuring enhanced lifecycle of the product.

We stand firm to our reputation for providing our clients with world class quality through an effective Quality Management system in place and best practices that are aligned with the internationally renowned quality standards and models like ISO 9001:2015 Quality Management Systems, ISO 27001:2013 Information Security Management Systems, AS 9100 DQMS requirements for Aviation, Space and Defense Organizations, ISO 13485:2016 Medical devices QMS, ISO

22163:2017 International Railway Industry Standards, TL 9000 R 6.0/R 5.5V the Telcom QMS, ISO 14001:2015 Environmental Management System, ISO 45001-2018 Occupational Health and Safety Management System and CMMI-DEV Version 2.0 Level 5, Capability Maturity Model Integration.

All interactions with our customers are based on a strong foundation of our Values 'FIRST' philosophy of Fairness, Integrity, Respect, Sincerity and Transparency. Customer Satisfaction Surveys are conducted on an annual basis. This provides valuable feedback for the Company for providing the best possible service to customers and continuously improve our engagement with them.

There have been no complaints and none pending against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behavior during the last five years as of March 31, 2022.